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Ratings Firms Are Worried About the SAASpocalypse, Too

By Heather Gillers, Reporter

Fitch Ratings in a report Wednesday warned that "write-downs of software investments and broader portfolio deterioration" could drag down the value of software-firm debt in the retail private credit funds that Fitch rates.

Such funds, known as business development companies, have faced a flood of withdrawals as investors have begun to lose faith that loans in the funds are worth what the managers say they are worth.

Loans to software firms are a particular area of concern because of worries that new artificial-intelligence tools will displace functions provided by the existing software-as-a-service, or SAAS, market.

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